SANCHEZ, et al., v. SIMPSON, et al.

22CV46351

- **DEFENDANT'S MOTION TO MEDIATE AND ARBITRATE**
- **PLAINTIFF'S MOTION FOR ORDER GRANTING PREFERENCE IN SETTING CASE FOR TRIAL**

As the court previously noted, "This is a civil action stemming from an oddly conceived real estate transaction between friends, neighbors, and distant cousins. The plaintiffs — elderly and/or infirm — sold their residence to defendants for $356,000 but obtained no cash in the transaction. Instead, plaintiffs agreed to pay all escrow fees and carry back the entire purchase price (minus $1,000) as a promissory note with only 3% interest. Based on the amortization schedule provided by escrow, plaintiffs were not due to be paid in full until after two of three plaintiffs had reached the age of 107. Plaintiffs allege in their Complaint that many of the terms "understood" by the parties did not make it into the Residential Purchase Agreement (RPA) signed by the parties, such as defendants' obligation to secure financing to pay off the promissory note in due course. (See prior ruling, dated December 12, 2022.)

The procedural history of this case also exhibits an unusual sequence of events. Defendants have never filed a response, yet their counsel participated in the *ex parte* hearing for Temporary Restraining Order (TRO) on Oct. 11, 2022, held one day after filing the complaint. Subsequently, both counsel stipulated to postpone the Preliminary Injunction hearing from Oct. 21, 2022, to Nov. 4, 2022, and then again to Dec. 2, 2022, when the court granted the Preliminary Injunction request.

Both parties' original Case Management Statements state that they were engaged in mediation. The defendants' recent statement expressed an Interim Settlement Agreement, allowing the plaintiffs to move personal property off the lot while defendants make property improvements for financing options.

Defendants originally filed a Motion for Order to Mediate, which was withdrawn and refiled as a Motion for Order to Mediate and Arbitrate on March 4, 2024. (Defense counsel provided plaintiffs' counsel with Local Rule 3.3.7 language in mailed correspondence dated March 22, 2024, although the language was not included in either of defendants' motions; the Court will proceed substantively as there is the belated reference to the Court's tentative ruling system but notes any future motions will be denied if the notice lacks the mandatory language.)

On March 6, 2024, plaintiffs filed a Motion for Order Granting Preference in Trial Setting. While the motions are inter-related, the history remains peculiar. Plaintiffs made arguments based on a Declaration of counsel that was initially objectionable; however, they addressed and corrected this declaration in the reply by providing an accompanying "affidavit" of counsel and relevant medical records. Specifically, defendants object to Declaration of Vanessa Amador in Support of Plaintiffs' Motion for Preference to Set the Case for Trial executed March 6, 2024, because it violates the hearsay rule. The Court grants the objection. However, the subsequent affidavit of counsel contained properly worded language.]

Despite these efforts, the Motion for Preference faces an insurmountable hurdle: this matter is not at issue. This obstacle, although not raised by defendants, renders granting the trial-setting preference impossible for this Court, though it also is rendered moot by the ruling on the motion to compel arbitration.

MOTION FOR ORDER GRANTING PREFERENCE IN SETTING CASE FOR TRIAL

Plaintiff brings a motion under CCP §36 for calendar preference arguing that under subdivision (a) preference must be granted. (*Fox v. Super. Ct.* (2018) 21 Cal. App. 5th 529, 535.) If the statutory requirements are met, the Court must grant the preference and set the trial within 120 days of ruling. (*Id*.) "No weighing of the interests is involved." (*Id.; Koch-Ash v. Super Ct.*(1989) 212 Cal. App.3rd 1082, 1085.)

However, the seeming mandatory application of CCP §36 is affected by two factors. First, the defendants have never answered the complaint so this matter is not at-issue and therefore cannot be set for trial. Second, CCP §§ 1281 and 1281.2 's strong public policy in favor of arbitration can overcome the mandatory provisions of CCP § 36.

In *Laswell v. AG Seal Beach, LLC* (2010) 189 Cal.App.4th 1399, 1403, 1409-1410, the trial court's decision to grant the plaintiff trial preference under CCP §36 had "no relevance" to whether to grant the opponent of 93-year-old terminally ill party to compel arbitration. A trial court is required to order a dispute to arbitration when the party seeking to compel arbitration proves the existence of a valid arbitration agreement covering the dispute.

Arbitration is strongly favored as a speedy and inexpensive method of dispute resolution. This is especially the case, where the arbitration agreement is governed by the Federal Arbitration Act, 9 U.S.C.S. § 1 et seq. (*Macaulay v. Norlander* (1992) 12 Cal.App.4th 1.)

Based on the foregoing, plaintiffs' Motion for CCP §36 preference is **DENIED**.

MOTION TO COMPEL ARBITRATION

The Federal Arbitration Act, 9 U.S.C. §§ 1, et seq. (FAA) applies to any "contract evidencing a transaction involving commerce." 9 U.S.C. § 2. The United States Supreme Court has broadly interpreted the FAA's application, stating that the FAA is a "body of substantive law enforceable in both state and federal courts." (*Perry v. Thomas*, 482 U.S. 483, 489 (1987).)

California precedent similarly has a "strong public policy in favor of arbitration." (*Evenskaas v. California "Transit, Inc*. (2022) 81 Cal. App. 5th 285; *Larkin v. Williams, Woolley, Cogswell, Nakazawa & Russell* (1999) 76 Cal. App. 4th 227, 229; *United Trans. UniOn, AFL CIO v. Southern Cal. Rapid Transit Dist*. (1992) 7 Cal. App. 4th 804, 808.) Thus, a court generally must compel arbitration in accordance with the agreement when requested by one of the parties. (California Code of Civil Procedure (CCP) §1281.2; 9 U.S.C. § 2; *Rockefeller Technology Investments VII v. Changzhou Sino Type Technology Co.* (2020) 9 Cal.5th 125, 146; *Weiler v. Marcus & Millichap Real Estate Investment Services, Inc*. (2018) 22 Cal.App.5th 970, 979.)

Plaintiffs devote much of their opposition brief to the futility of past mediation (the first step in the RPA's Section XXIV's dispute resolution direction to first mediate, and then arbitrate.) This has the unintended effect of supporting the argument to compel the RPA's arbitration clause.

Based on the foregoing, Defendants' Motion for Motion for Order to Compel Arbitration is **GRANTED**.

The Clerk shall provide notice of this Ruling to the parties forthwith. Defendants to submit a formal order pursuant to Rule of Court 3.1312 in conformity with this ruling.